

Summary

Asset management ratios are calculated to assess the competence and the effective of management by determining how efficiently assets have been managed. It also highlights how effectively credit policy has been administered and whether a company is availing of all the credit it is entitled to, and is offered, by its suppliers. It can also indicate whether a company is encountering difficulties.

Margins

It is not uncommon to read in annual reports that “although sales have increased by 24 percent in the year profits have fallen due to increases in the cost of production causing margins to erode”.

Margins indicate the earnings a company makes on its sales, i.e. its mark up on the cost of the items it manufactures or trades in. The higher the mark up, the greater the profit per item sold and *vice versa*. Margins are so important that they determine the success or failure of a business. And the mark up or margin made by the seller is usually based on what he believes the market can bear, or that which he thinks will fuel sales. Usually, low volume businesses are high margin businesses as goods often have to be held for some time. Others, such as supermarkets or for that matter brokers, work at very low margins because volumes are very high.

Margins help to determine the cost structure of a business, i.e. is it high cost or low cost, and whether the business is a high volume low margin business or otherwise. This is important as it will indicate how dependent the company is on margins. If the company operates with low margins a small increase in costs can result in large losses.

The performance between companies within an industry or a group can also be compared with the help of margins. Let us assume that the gross margin earned by Hindustan York is 20 percent whereas the industry average is 18 percent. It can be argued in this instance that Hindustan York is more efficient and that its products command a greater premium.

Management trends can also be assessed by margins. Efficient and strong managements will work to improve margin or, at least maintain them.